

24STCV20983 24STCV20983

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Department: 506
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Case Number: 24STCV20983 Hearing Date: August 4, 2026 Dept: 506

SUPERIOR
COURT OF THE STATE OF CALIFORNIA

FOR THE
COUNTY OF LOS ANGELES - CENTRAL DISTRICT

SB ESTATES, LLC,

Plaintiff,

vs.

SAM MURADYAN, et al.,

Defendants.

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CASE NO.: 24STCV20983

[TENTATIVE] ORDER GRANTING MOTION FOR SUMMARY
JUDGMENT

Dept. 506

8:30 a.m.

August 4, 2026

On August 19, 2024, Plaintiff
SB Estates LLC filed this action against Defendants Sam Muradyan and Liberty United
Insurance Services, Inc. The Complaint alleges
(1) breach of fiduciary duty, (2) professional negligence, (3) negligent misrepresentation,
and (4) intentional misrepresentation.

On
April 16, 2026, Defendants filed a motion for summary judgment, or in the alternative,
summary adjudication.

REQUEST
FOR JUDICIAL NOTICE

Defendant's
request for judicial notice is granted.

EVIDENTIARY
OBJECTIONS

Plaintiff's

evidentiary objections are overruled.

BACKGROUND

FACTS

Sam

Muradyan is the owner and principal of Liberty United Insurance Services Inc., a California licensed insurance broker that assists with general business insurance needs. (Undisputed Material Facts "UMF" 1-2.)

On

February 14, 2022, Defendants were contacted by Edgar Majyan, a representative of Red Eye Kite Inc., who was seeking insurance coverage in conjunction with the lease of a commercial building from Plaintiff.

(UMF 3.) Mr. Majyan completed and returned a Commercial Insurance Application.

(UMF 4.) Within the Commercial Insurance

Application, Red Eye Kite specifically claimed that it had \$0 worth of business property inside the building. (UMF 6.) Defendants procured vacant building liability insurance coverage for Red Eye Kite. (UMF 7.)

On

February 18, 2022, Defendant Muradyan prepared and sent a sample certificate of insurance, asking Mr. Majyan to forward it to his landlord (Plaintiff) and ask for their information. (UMF 9.) Three days later, Defendant Muradyan received an email from Mr. Majyan forwarding Plaintiff's edits to the sample certificate of insurance, including an increase on the damage to rented premises coverage from \$100,000 to \$800,000.00, and an inclusion of Plaintiff as certificate holder and additional insured. (UMF 10.) The next day, Defendant Muradyan sent an email to Plaintiff addressing the request for \$800,000.00 in damage to rented premises coverage and asking for Plaintiff to approve a lower limit of \$300,000.00 until Mr. Majyan began operations. (UMF 11.) Plaintiff agreed to the damage to rented premises limit of \$300,000. (UMF 12.)

On

February 23, 2022, Defendants received a general liability quote for general liability coverage through Scottsdale Insurance Company and provided the quote to Red Eye Kite to review and Mr. Majyan's approval.

(UMF 14.) The liability insurance policy was thereafter issued, with an effective date of February 24, 2022 and renewed for another year. (UMF 16.) The liability policy that was issued specifically includes \$300,000.00 in coverage for Damage to Rented Premises. (UMF 17.)

Defendants were not asked to procure a separate stand-alone property damage policy, protecting Red Eye Kite and/or Plaintiff against property damage. (UMF 33.)

On July 10, 2023, Plaintiff notified Defendants of damage to the property leased by Red Eye Kite. (UMF 19.) Defendant Muradyan confirmed that the policy at issue was only a general liability policy and asked what the claim was for. (UMF 20.) Plaintiff was claiming that Red Eye Kite had damaged the property, and coverage was ultimately denied. (UMF 21-22.)

DISCUSSION

For each claim in the complaint, the defendant moving for adjudication must satisfy the initial burden of proof by showing that one or more elements of a cause of action cannot be established or that there is a complete defense to a cause of action. (Code Civ. Proc., § 437c, subd. (p)(2); *Scalf v. D. B. Log Homes, Inc.* (2005) 128 Cal.App.4th 1510, 1520 (Scalf).) Then the burden shifts to the plaintiff to show that a triable issue of material fact exists as to that cause of action or a defense. (Code Civ. Proc., § 437c, subd. (p)(2); *Scalf*, supra, 128 Cal.App.4th at p. 1520.) To establish a triable issue of material fact, the party opposing the motion must produce “substantial responsive evidence.” (*Sangster v. Paetkau* (1998) 68 Cal.App.4th 151, 162-163.)

A. Defendants Did Not Owe Fiduciary Duties to Plaintiff (First Cause of Action).

Defendants argue that they owed no fiduciary duties to Plaintiff because Plaintiff was not their client. (Motion at pp. 9-10.)

“An insurance broker’s client is the person or entity that contracts with the broker, communicates to the broker its insurance needs, reviews the quotes provided by the broker and decides what policy to purchase.” (*Pacific Rim Mechanical Contractors, Inc. v. Aon Risk Ins. Services West*,

Inc. (2012) 203 Cal.App.4th 1278, 1290.)

Plaintiff

argues that “California courts impose a duty of care on insurance intermediaries in favor of persons not in contractual privity” based on the factors in *Biakanja v. Irving* (1958) 49 Cal.2d 647, 650 (*Biakanja*). (Opposition at pp. 8-9.) The balancing of those factors will determine whether in a specific case the defendant will be held liable to a third person not in privity. (*Biakanja*, supra, 49 Cal.2d at p. 650.) But that liability was for recovery in general negligence. (See *ibid.*) It did not address breach of fiduciary duty, which is a question of law, not fact. (See Reply at pp. 3-4.)

It

is undisputed that Plaintiff was not Defendants' client, and Plaintiff has not shown the existence of a triable issue of fact regarding fiduciary duty.

Summary

adjudication of the first cause of action is granted.

B. There Is No Triable Issue Regarding Breach of Duties (Second Cause of Action).

Defendants

argue that they cannot be liable for professional negligence because Plaintiff was not their client. (Motion at pp. 11-12.) However, as a matter of policy, a party may be liable to a third person not in privity based on the balancing of various factors, including “the extent to which the transaction was intended to affect the plaintiff, the foreseeability of harm to him, the degree of certainty that the plaintiff suffered injury, the closeness of the connection between the defendant's conduct and the injury suffered, the moral blame attached to the defendant's conduct, and the policy of preventing future harm.” (*Biakanja*, supra, 49 Cal.2d at p. 650; see Opposition at pp. 8-11.) Defendants do not address this in their moving papers, and Plaintiff raises triable issues of fact regarding several factors.

Defendants

also argue that they did not breach any duty to Plaintiff. (Motion at pp. 12-13.) Insurance brokers owe a limited duty to their clients: to use reasonable care, diligence, and judgment in procuring the insurance requested by an insured. (*Mark Tanner Constr. v. Hub Internat. Ins. Servs.* (2014) 224 Cal.App.4th 574, 584.) An insurance broker breaches its duty when (1)

the broker misrepresents the nature, extent, or scope of the coverage being offered or provided; (2) there is a request or inquiry by the insured for a particular type or extent of coverage; or (3) the broker assumes an additional duty by either express agreement or by "holding himself out" as having expertise in a given field of insurance being sought by the insured. (Ibid.)

Defendants

have met their burden of showing that they did not breach these duties. (Motion at pp. 12-13; see Reply at pp. 6-10.) Defendants received Plaintiff's edits of an increase

on the damage to rented premises coverage from \$100,000 to \$800,000.00, and an inclusion of Plaintiff as certificate holder and additional insured. (UMF 10.)

Defendants asked Plaintiff to approve a lower limit of \$300,000.00 until Mr. Majyan began operations, and Plaintiff agreed. (UMF 11-12.)

The liability policy that was issued specifically includes \$300,000.00 in coverage for Damage to Rented Premises. (UMF 17.)

There

is no triable issue of fact regarding Defendants' actions and lack of breach. Summary adjudication of the second cause of action

is granted.

C. There Was No False Statement (Third and Fourth Causes of Action).

Defendants

argue that they never made any false assertions of fact. (Motion at pp. 13-

Plaintiff

alleges that Defendants "provided a Certificate of Liability Insurance to SB Estates, falsely indicating that \$300,000 in property damage coverage was in place." (Complaint ¶ 43; see Complaint ¶ 49.) The liability policy that was issued specifically

includes \$300,000.00 in coverage for Damage to Rented Premises. (UMF 17.)

Defendant has shown that there was no misrepresentation.

Plaintiff

argues that the sublimit provided no coverage for tenant-caused damage to the building and Defendants represented that "[a]s Edgar finalizes licensing, he will purchase property coverage before he starts operation."

(Opposition at pp. 15-16.) "[E]ven

if Mr. Muradyan's statements were viewed as literally true so far as they went,

they were actionable half-truths.” (Id.

at p. 16.) Because the pleadings frame the

issues, Plaintiff cannot avoid summary adjudication by now alleging different misrepresentations. (See *Hutton v. Fidelity National Title Co.*

(2013) 213 Cal.App.4th 486, 493 [“[T]he [papers] filed in response to a defendant’s motion for summary judgment may not create issues outside the pleadings and are not a substitute for an amendment to the pleadings,” quotations and citations omitted].)

Summary

adjudication of the third and fourth causes of action is granted.

CONCLUSION

The

motion for summary judgment is GRANTED.

Defendants

are ordered to submit a proposed form of judgment within five days.

A

Non-Appearance Case Review re: Submission of Proposed Judgment is scheduled for August 26, 2026 at 9:00 a.m.

Moving

party to give notice.

Parties

who intend to submit on this tentative must send an email to the Court at

indicating intention to submit. If all parties

in the case submit on the tentative ruling, no appearances before the Court are

required unless a companion hearing (for example, a Case Management Conference)

is also on calendar.

Dated this 4th day of August 2026

Hon. Thomas D. Long

Judge of the Superior

Court